

Hills and valleys. I excluded any pattern that had a peak or valley outside of the turns as described in the table.

Volume. Although it may not look like a downward volume trend in this example (F), linear regression says it recedes. In fact, you'll see volume trending downward in most AB=CD patterns and other chart pattern types, too. If volume trends upward, that's fine. Don't throw away a pattern because of an unusual volume trend.

Duration. I imposed a 6-month limit to the length of most chart patterns, including the AB=CD. It's an arbitrary limit.

Focus on Failures

[Figure 2.3](#) shows an example of a failed bearish AB=CD pattern (labeled as turns ABCD). The pattern fails in multiple ways. The first is that price doesn't make it up to the predicted point D.

Turn A has a low price of 134.82, B has a high of 148.28, and C has a low of 139.95. That gives a BC/BA retrace of .618, so the turn qualifies as a valid AB=CD. It predicts that point D should be at 153.41 using the formula: $D = (B - C)/\text{Ratio} + C$.

As the figure shows, point D falls well short of the target, which I show as F. Instead, price rises only to D before dropping to E. Imagine that you wanted to trade the anticipated rise to point D by buying the stock soon after turn C. You placed a stop a few pennies below C, and you would have been stopped out at E, which reached a low of 139.79, slightly below the low at C.

As I mentioned in the Identification Guidelines, there can't be a low below C on the way to the calculated point D. Point E stops the search for D because it's below the low at C. If you ignore that rule, then you have discovered the second failure type.